

HARBORVIEW BANCSHARES, INC.

FORM 10-Q

Quarterly Report Pursuant to Section 13 or 15(d)
of the Securities Exchange Act of 1934

For the Quarterly Period Ended September 30, 2024

Commission File Number: 001-YYYYY
Ticker: HVBS | Exchange: NYSE
Headquarters: Portland, Oregon

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PART I - FINANCIAL INFORMATION

Item 1. Financial Statements (Unaudited)

CONSOLIDATED BALANCE SHEETS (Unaudited)

(In thousands)

	Sep 30, 2024	Dec 31, 2023
ASSETS		
Cash and due from banks	\$ 184,312	\$ 201,418
Interest-bearing deposits in FIs	412,084	389,312
Investment securities AFS	1,121,840	1,198,314
Loans and leases	4,218,312	4,084,218
Allowance for credit losses	(48,312)	(44,081)
Net loans and leases	4,170,000	4,040,137
Other assets	284,144	271,819
TOTAL ASSETS	\$6,172,380	\$6,101,000
LIABILITIES AND EQUITY		
Noninterest-bearing deposits	\$ 984,318	\$1,121,084
Interest-bearing deposits	4,084,312	3,941,218
Total deposits	5,068,630	5,062,302
FHLB advances	412,000	348,000
Other liabilities	91,312	88,214
Total liabilities	5,571,942	5,498,516
Total stockholders' equity	600,438	602,484
TOTAL LIABILITIES AND EQUITY	\$6,172,380	\$6,101,000

CONSOLIDATED STATEMENTS OF INCOME (Unaudited)

(In thousands, except per share data)

	Q3 2024	Q3 2023	9M 2024	9M 2023
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INTEREST INCOME				
Loans and leases	\$68,312	\$71,084	\$204,318	
Investments	14,218	13,812	42,318	
Other	3,812	2,918	10,418	
Total interest income	86,342	87,814	257,054	
INTEREST EXPENSE				
Deposits	28,318	21,084	82,418	
Borrowings	6,218	4,812	17,418	
Total interest expense	34,536	25,896	99,836	
NET INTEREST INCOME	51,806	61,918	157,218	
Provision for credit losses	4,200	3,100	12,600	
Noninterest income	12,318	11,814	36,418	
Noninterest expense	44,218	43,812	132,318	
Income before taxes	15,706	26,820	48,718	
Income tax expense	3,926	6,705	12,179	
NET INCOME	\$11,780	\$20,115	\$36,539	
EPS - diluted	\$ 0.48	\$ 0.82	\$ 1.49	

Item 2. Management's Discussion and Analysis

OVERVIEW

Harborview Bancshares, Inc. reported net income of \$11.8 million, or \$0.48 diluted earnings per share, for Q3 2024, compared to \$20.1 million, or \$0.82 per diluted share, for Q3 2023. The decline in earnings reflects margin compression from deposit repricing and a higher provision for credit losses.

The Company's net interest margin decreased to 3.44% for Q3 2024 from 4.18% for Q3 2023. Total assets grew to \$6.2 billion at September 30, 2024, from \$6.1 billion at December 31, 2023, driven primarily by loan growth of \$134 million.

NET INTEREST INCOME

Net interest income was \$51.8 million for Q3 2024, down \$10.1 million, or 16.4%, from Q3 2023. Average interest-earning assets were \$5.96 billion, with a yield of 5.78%. Average interest-bearing liabilities were \$4.50 billion, with an average cost of 3.07%.

CREDIT QUALITY

Nonperforming loans were \$41.2 million, or 0.98% of total loans, at September 30, 2024, compared to \$28.3 million, or 0.69%, at December 31, 2023. Net charge-offs were \$4.8 million, or 0.45% of average loans annualized, for Q3 2024. The allowance for credit losses was \$48.3 million, representing 1.14% of total loans.

CAPITAL

The Company's regulatory capital ratios exceeded all "well-capitalized" minimums:

- Common Equity Tier 1 ratio: 11.84%
- Tier 1 capital ratio: 11.84%
- Total capital ratio: 13.12%
- Leverage ratio: 8.91%
- Tangible book value per share: \$22.14

Item 3. Quantitative and Qualitative Disclosures About Market Risk

INTEREST RATE SENSITIVITY

The following table presents the estimated impact of hypothetical instantaneous interest rate changes on net interest income for the next 12 months as of September 30, 2024:

Rate Scenario	NII Change (\$000)	% Change
+200 basis points	+\$8,412	+5.4%
+100 basis points	+\$4,218	+2.7%
Base case	\$155,800	--
-100 basis points	-\$6,312	-4.1%
-200 basis points	-\$13,841	-8.9%

The Company's balance sheet is modestly asset-sensitive, meaning it is positioned to benefit from rising interest rates over the near term.

Item 4. Controls and Procedures

As of September 30, 2024, the Company's Chief Executive Officer and Chief Financial Officer concluded that the Company's disclosure controls and procedures were effective. There were no material changes in internal control over financial reporting during Q3 2024.

PART II - OTHER INFORMATION

Item 1A. Risk Factors

There have been no material changes to the Risk Factors disclosed in the Company's Annual Report on Form 10-K for the year ended December 31, 2023, except as described below.

DEPOSIT OUTFLOW RISK: The continued elevated interest rate environment has intensified competition for deposits. The Company has responded by increasing deposit rates, which has negatively impacted the net interest margin. If deposit outflows accelerate, the Company may need to rely more heavily on more expensive wholesale funding sources.

COMMERCIAL REAL ESTATE RISK: The commercial real estate market has experienced headwinds due to higher interest rates and reduced occupancy in certain property types, particularly office properties. The Company's CRE loan portfolio totals \$1.84 billion, or 43.6% of total loans, and may be subject to increased stress if property values decline further.

OPERATIONAL RISK: The Company continues to invest in technology upgrades to its core banking platform. System conversions and integrations carry the risk of operational disruptions, data integrity issues, and temporary impairment of customer service capabilities.

Item 2. Unregistered Sales of Equity Securities

During Q3 2024, the Company did not repurchase any shares of its common stock. The Company has \$28.4 million remaining under its stock repurchase authorization.

Item 6. Exhibits

31.1 - CEO Certification (Rule 13a-14(a))

31.2 - CFO Certification (Rule 13a-14(a))

32.1 - Certifications under 18 U.S.C. Section 1350

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